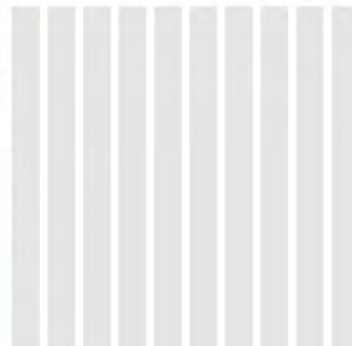


2025

ANNUAL REPORT



AACSB

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LETTER FROM THE PRESIDENT AND CEO



“As we look ahead, we will build on this momentum—advancing our thought leadership, strengthening our connections, and equipping schools with resources to make a meaningful, lasting impact.”

BUILDING MOMENTUM TOGETHER

This past year has been one of remarkable momentum for AACSB, propelled by our shared commitment to advancing business education in a rapidly changing world. We achieved milestones that expanded our reach, reinforced our credibility, and enhanced our ability to serve a diverse, global community.

In the spirit of increasing our impact, AACSB broadened its focus beyond accreditation by initiating the Global Standards for Business Education™. This foundational shift positions us as the leader in defining educational quality for all business schools that aspire to improve, not only schools undergoing accreditation. The Global Standards will remain the basis for accreditation and will underpin future AACSB initiatives to ensure alignment of efforts across the organization.

Relatedly, the board adopted a new standard-setting framework that formalizes the principles and processes behind the Global Standards. Designed to ensure quality, relevance, and fairness, the framework embeds transparency and widespread stakeholder engagement and is adaptable to diverse global contexts. The framework has guided the Standards Refresh project, which will be completed in 2026.

AACSB also advanced its leadership in another critical area: ensuring that academic research creates real impact in business and society. In collaboration with key scholarly societies, we launched a Research Impact Task Force to establish a framework for advocating, defining, and assessing research impact. Informed by meetings, listening sessions, and surveys, the framework will be released in 2026.

In April 2025, AACSB published its first *State of Business Education Report*, sharing a comprehensive view of the industry—its trends, challenges, and future imperatives. The resulting insights not only illustrate the story of business schools in today's complex landscape, but they also guide schools toward the priorities that will shape the successful future of business education.

As we developed this landmark report, we did so in a world marked by geopolitical, technological, and economic shifts, causing critical changes to academic institutions. Throughout these transitions, AACSB has remained a trusted partner, helping business schools navigate complexity and seize emerging opportunities. By hosting information sessions and fostering meaningful global dialogue, we encouraged unity and affirmed our commitment to inclusive learning environments, academic freedom, and international exchange.

Throughout 2024–25, AACSB contributed to important conversations about the future of education and leadership. I was honored to represent our community at global events hosted by organizations including the United Nations, Principles for Responsible Management Education, the Society for Human Resource Management, and Future Business Leaders of America. These platforms allowed us to highlight the transformative role business schools play in addressing global challenges and preparing the next generation of leaders.

The progress of the past year reflects the dedication and passion of our global network. As we look ahead, we will build on this momentum—advancing our thought leadership, strengthening our connections, and equipping schools with resources to make a meaningful, lasting impact.

Thank you for your devotion to AACSB's mission to elevate the quality and impact of business schools globally.

Lily Bi

President and CEO
AACSB International

LETTER FROM THE BOARD CHAIRS



Sherif Kamel



Joyce Strawser

DRIVING **IMPACT** THROUGH **STRATEGY** AND **GOVERNANCE**

Last year, we introduced AACSB's new three-year strategic plan—a bold vision to elevate the quality and impact of business schools globally. This year, we are pleased to share the progress made across its three strategic drivers.

AACSB has **enhanced member value** by expanding resources for educational and business members, implementing a regionally focused staffing model, and developing innovative tools to address evolving needs. Providing **new value for members**, we reimaged conferences to increase engagement, launched the AACSB Academy as a comprehensive learning and development suite, and advanced initiatives connecting schools with prospective students. As **the voice for business education**, AACSB delivered new and revitalized thought leadership, established the Global Research Impact Task Force, and launched a podcast exploring timely issues in global business education.

This year also marked a significant milestone as AACSB's board undertook a comprehensive governance review. AACSB's governance model, established decades ago, no longer reflects the scale and diversity of our global network. With members in over 100 countries, we needed to build a governance structure that is more agile, transparent, global, and inclusive.

To address this, the board launched a governance remodeling project—an initiative to modernize outdated structures and align them with the needs and expectations of today's global membership and stakeholders. Through surveys, summits, and extensive consultations, we engaged the board and a broad spectrum of members and stakeholders in co-creating a new model.

The proposed model reduces the board size from around 30 to 13–17 members for greater agility and effectiveness, with representation from accredited and non-accredited institutions and business members.

Competency-based nomination and selection processes for board members will ensure diverse skills and perspectives, and regional advisory councils will play a pivotal role in shaping AACSB's global leadership.

Global representation and local relevance are key to the future of governance. Active regional advisory councils will strengthen global engagement, ensuring every region's voice shapes AACSB's direction—including a new North America Council and expanded African representation—supported by clear communication pathways with the board. Committees will be realigned to strategic priorities, including a new Global Standards Committee and Global Accreditation Committee, an expanded Audit & Risk Committee, and a Governance Committee focused on board effectiveness and best practices.

These updates will streamline decision-making, broaden member input, and enhance responsiveness to emerging needs. Following member feedback and approval of the revised bylaws in late 2025, the new model will be implemented starting in the 2026–27 fiscal year.

With the dedication of our members, volunteers, and staff, we are confident that AACSB will continue to drive innovation, strengthen global connections, and positively reshape the future of business education.

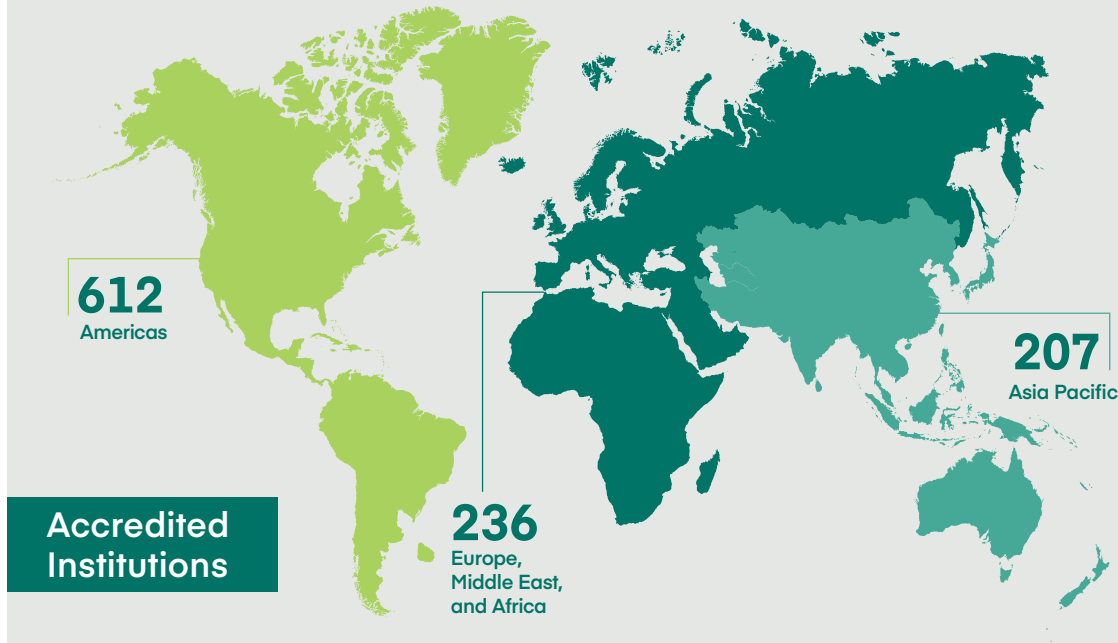
Sherif Kamel

Chair, 2024–25 AACSB Board of Directors
Dean, Onsi Sawiris School of Business, The American University in Cairo

Joyce Strawser

Vice Chair-Chair Elect, 2024–25 AACSB
Board of Directors
Dean, Stillman School of Business, Seton Hall University

OUR NETWORK, **CONNECTED.**



OUR PRESENCE, **AROUND THE WORLD.**



MISSION

AACSB elevates the quality and impact of business schools globally.



VISION

To achieve positive societal impact through business schools.



VALUES

Members First, Inclusivity, Global Unity, Excellence, Curiosity

DELIVERING VALUE TO THE BUSINESS EDUCATION ALLIANCE



ACCREDITATION

1,030 Accreditation volunteers completed training (all years)

144 Individuals newly trained in 2024–25

92% were satisfied with training experience

571 Individuals served on PRTs
Total positions they filled: **783**

37 Initial accreditation visits

187 CIR visits

Average overall school satisfaction with PRT experience:

CIR: **95%**

Initial: **100%**



MEMBER CONNECTIONS

32 Networking communities

16 Affinity groups

8 Regional networks

8 Special interest communities

151 New educational members joined 2024–25
From **49** countries and territories

43 New business members joined 2024–25
From **17** countries and territories



LEARNING AND PROFESSIONAL DEVELOPMENT

11,500+ Learning and professional development attendees from 2024–25

468 Speakers and facilitators

2,004 Organizations represented
Across **119** countries

New offerings

- Faculty Excellence Seminar
- AI Workshop Series
- Eligibility Application Workshop
- NEOMA Business School AI Course

YEAR IN REVIEW

STRATEGIC DRIVER 1: ENHANCE CORE VALUE FOR MEMBERS

We have continued our commitment to delivering more value to members by offering personalized support, enhancing accreditation services, and creating new ways to connect. These efforts focused on building stronger relationships, streamlining resources, and giving members the tools they need for long-term success.

Strengthening Regional Support

Last year, AACSB launched an enhanced member-first service model that provides personalized, regionally focused support to member schools worldwide. Each institution is paired with a member success liaison who connects them with global peers, identifies professional development opportunities, and aligns AACSB resources with institutional goals. For schools engaged in accreditation, alongside the member success liaison, a dedicated accreditation manager offers expert guidance, feedback, and best practices to support alignment with AACSB standards and long-term success.

Increasing Accreditation Value

AACSB introduced an AI Use Case Hub, offering practical tools and AI-generated prompts to help schools more efficiently meet accreditation requirements. We also released our third annual *State of Accreditation Report*, delivering valuable insights, shared learnings, and best practices from accreditation visits. Key enhancements to myAccreditation included adopting agile development, improving documentation, and modernizing project management tools for greater efficiency. Additionally, the Standards Refresh Project was initiated, guided by a global task force to ensure our standards evolve alongside the needs of business schools and society.



Promoting Member Engagement and Collaboration

The AACSB Exchange was relaunched with an updated design and advanced functionality to promote seamless collaboration. Key features include a personalized homepage, topic-based communities, an elevated Expert Directory, and simplified access to affinity groups and networking communities—empowering members to connect, share, and grow more effectively.

Enhancing Online Activity

AACSB enhanced its digital communications and user experience through a series of focused improvements. The AACSB website underwent key upgrades, including a reorganized navigation, a new Solutions Library to spotlight business members, and a streamlined member dashboard to simplify access to online services. At the same time, AACSB reduced overall member communications by 10.4 percent, ensuring clearer, more targeted, and more meaningful engagement across digital channels.

WELCOME BACK,
TIM MESCON!



AACSB is pleased to welcome back Tim Mescon as vice president of growth and engagement for the Americas. In this new role, Tim will focus on strengthening member engagement, fostering deeper connections, and amplifying the value of AACSB membership across the region's nearly 700 institutions. Tim returns to AACSB following his retirement as executive vice president and chief officer for Europe, the Middle East, and Africa, where he played a key role in expanding AACSB's global presence. His renewed leadership brings valuable experience and a strong commitment to supporting the success of member schools throughout the Americas.

STRATEGIC DRIVER 2: CREATE NEW VALUE FOR MEMBERS

Last year we introduced innovative programs, resources, and experiences to create fresh value for AACSB members. From expanded learning opportunities to new outreach channels, these initiatives support member success, amplify impact, and strengthen connections across the global business education community.

Redesigned Conference Experience

Over the past year, AACSB introduced a redesigned conference experience with an expanded format, more sessions, and enhanced networking. The Deans Conference, drawing more than 700 global leaders to explore the future of business education, said farewell to February as it transitions to October going forward. Regional events were also reimaged as “Elevate” conferences—two-day, high-impact programs focused on accreditation, emerging trends, and regionally relevant content, all designed to foster meaningful peer exchange and global insight.



In April, AACSB launched its new Academy—a suite of learning and development opportunities designed to upskill business school faculty, staff, and administrators through competency-based, flexible, and globally accessible programs. The Academy expands AACSB’s learning portfolio with offerings such as on-demand modules, cohort-based programs, and certificates in areas like assurance of learning, AI, and business simulation. The Academy supports professional growth at all career stages while advancing institutional excellence and global impact.

Value of Accreditation Resources

AACSB has developed a comprehensive toolkit to help schools communicate the value of accreditation to key stakeholders. With audience-specific messaging for students, faculty, employers, and governments, this resource also features customizable slide decks, social media templates, brand assets, one-page handouts, and ideas for sharing an institution’s accreditation

journey—empowering schools to articulate the impact and credibility of AACSB accreditation.

Quality in Assurance of Learning

Officially launched last year, the new Quality in Assurance of Learning Certificate Program is a 22-week virtual offering designed to scale AACSB’s quality improvement initiatives by helping member schools enhance and validate their AoL systems. Through a structured, externally assessed process, schools complete a development plan and submit AoL documentation to earn a certificate that signals excellence in continuous improvement and learning assurance.

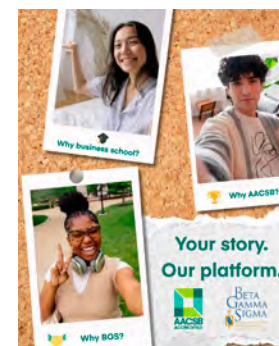
Continuation of BBC Relationship

AACSB continued its collaboration with BBC StoryWorks through the newly conceptualized mini-documentary series, *Leader Generation*. The project provides participating schools with global visibility by highlighting their role in addressing complex, real-world challenges, like climate change, public health,

and economic inequality. Featuring compelling stories from 18 cities worldwide, the series reinforces the transformative power of business schools in advancing positive societal change.

Broadening Presence and Engagement

To expand its reach with prospective students, AACSB launched an Instagram presence to showcase the impact of business education and connect with future leaders. Engagements with student-focused organizations like Future Business Leaders of America and Beta Gamma Sigma further deepened outreach and opportunities across the global student community. Additionally, AACSB joined WhatsApp to enable more direct, accessible communication with members worldwide.



WELCOME,
CARRIE SUMMERLIN!



In July, AACSB announced the appointment of Carrie Summerlin as executive vice president and chief learning and engagement officer. Prior to joining AACSB, Carrie held senior roles at the Florida Institute of CPAs and the Institute of Internal Auditors, where she led high-impact initiatives in strategy, innovation, and member engagement. Since arriving, Carrie has spearheaded the transformation of AACSB’s global conference experiences, expanded the organization’s learning portfolio to support evolving member needs, and forged new partnerships that connect business schools with industry, creating opportunities for greater collaboration and real-world impact.

YEAR IN REVIEW

STRATEGIC DRIVER 3: BE THE VOICE FOR BUSINESS EDUCATION

AACSB advanced its role as the leading voice for business education by championing impactful research, showcasing societal contributions, and sharing insights that shape the industry's future. Through new leadership, initiatives, and publications, we amplified member achievements and propelled conversations that influence business education worldwide.

Driving Research Relevance

In January, AACSB launched the Global Research Impact Task Force. With representatives from nine leading scholarly societies, the task force aims to redefine research impact by establishing principles and innovative measurement approaches that emphasize societal value. After sharing an exposure draft of its Global Research Impact Framework at the Deans Conference in Toronto, the task force will continue to gather input from members and other stakeholders as it finalizes the framework and develops an implementation

plan. This initiative will help bridge academia, industry, and policy, ensuring business school research not only meets scholarly standards but stimulates meaningful, real-world change.

Elevating Business School Impact

Last year, AACSB highlighted the societal impact of business schools by sharing best practices and innovations in articles, videos, and reports published on *AACSB Insights*. This past year also marked the conclusion of the Innovations That Inspire and Influential Leaders programs, both of which celebrated exemplary contributions to business education and society. Building on these legacies, AACSB has reimagined its member recognition programs and launched the Global Impact Awards, further elevating the individuals and initiatives that drive meaningful change through business education. The new awards better align with the standards and allow AACSB to showcase the excellence of its member schools in more areas of impact.



Delivering Actionable Insights

Over the past year, AACSB released several key publications providing valuable data and insights for the business education community. *Master's Enrollment Trends at AACSB Schools* analyzes global growth, demographic shifts, program delivery changes, and regional dynamics, helping schools align offerings with the needs of students, employers, and society. *GenAI Adoption in Business Schools: Deans and Faculty Respond* presents survey findings from 263 deans and 321 faculty members who shared their practices and perspectives on generative AI. The inaugural *2025 State of Business Education Report* examines the forces shaping the industry, including financial model viability, evolving faculty roles, graduate readiness, leadership demands, and shifting student pipelines. And the returning *Business School Data Guide* offers comprehensive global data on programs, finances, faculty, and students, with new coverage of non-degree programs.



Amplifying Voices in Business Education

In June, AACSB launched a new podcast, *AACSB Pulse*, that features conversations on timely topics with leaders in business education and beyond. In the debut episode, host Eileen McAuliffe, AACSB's executive vice president, chief thought leadership officer, and managing director of EMEA, spoke with Sherif Kamel, dean of the AUC Onsi Sawiris School of Business and chair of AACSB's 2024–25 Board of Directors. Their conversation explored how business schools are navigating geopolitical shifts, fostering innovation through collaboration, and leveraging emerging technologies to enhance curricula, research, and operations. Tune into the show on *AACSB Insights*, Apple, and Spotify for new episodes!

WELCOME,
EILEEN MCAULIFFE!



In September, AACSB welcomed Eileen McAuliffe as executive vice president, chief thought leadership officer, and managing director of Europe, the Middle East, and Africa (EMEA). A former AACSB board member, Eileen brings extensive academic and industry experience, most recently serving as pro vice-chancellor and executive dean at Birmingham City University. She now leads AACSB's thought leadership efforts, positioning the organization as the global voice of business education, while overseeing EMEA strategy and operations to strengthen member engagement. Eileen's leadership advances AACSB's mission to enhance the quality, relevance, and societal impact of business schools worldwide.

THE POWER OF RELATIONSHIPS

Engaging Industry Leaders

We are grateful to our sustaining and executive business members for their support of our programs and the industry insights they bring to our network.

Sustaining Business Members

American Accounting Association
Bloomberg for Education
Capsim Management Simulations, Inc.®
Career Key
Certified Financial Planner Board of Standards, Inc
CollegeApp
Coursera
Educational Testing Service (ETS)
Elsevier
Everspring
Graduate Management Admission Council™
Hanover Research
KPMG
Lightcast
Management and Business Review (MBR)
Marketplace Simulations
Miles Education Private Limited
PeopleCert
Peregrine Global Services
PricewaterhouseCoopers (PwC)
Risepoint
Sage

Executive Business Members

ACADEM by RimaOne
Cabells
Cesim Business Simulations
CompanyGame AI & Simulations
Deloitte LLP
Dow Jones & Company/
The Wall Street Journal
Ernst & Young Foundation LLP
Flywire
Kurdistan Leadership Program (KLP)
QED: The Accreditation Experts
QS Quacquarelli Symonds
Studyportals
UWorld

Connecting on Quality

Last year, AACSB expanded its global partnerships through several strategic initiatives.

- We secured five-year recognition from Türkiye's Higher Education Quality Council, reinforcing shared alignment with international quality standards.
- AACSB renewed its collaboration with the Korean Association for Business Education Accreditation, streamlining joint site visits and reducing administrative burdens for member schools.
- In the Middle East and North Africa, a new MOU with the Association of Arab Universities will advance accreditation and best practices across its 450 member institutions.
- AACSB also joined the 2025 US-ASEAN Business Council Mission to Vietnam, engaging government and industry leaders on the role of higher education in meeting future workforce needs.
- AACSB has partnered with the Society for Human Resource Management to strengthen ties between business schools and employers and ensure graduates are prepared for the evolving world of work.

Together, these partnerships not only enhance AACSB's global reach but also amplify our ability to shape the future of business education and drive meaningful impact worldwide.



EXECUTIVE LEADERSHIP TEAM



Top row, from left: Carrie Summerlin, Executive Vice President and Chief Learning and Engagement Officer / Geoff Perry, Executive Vice President and Chief Officer, Asia Pacific, Americas, and Membership / Eileen McAuliffe, Executive Vice President, Chief Thought Leadership Officer and EMEA

Bottom row, from left: Neil Bosland, Executive Vice President and Chief Operating and Financial Officer / Lily Bi, President and CEO / Stephanie Bryant, Executive Vice President and Chief Accreditation Officer



AACSB

BOARD OF DIRECTORS

(year ended June 30, 2025)



Chair
Sherif H. Kamel
 The American University
 in Cairo



Vice Chair-Chair Elect
Joyce A. Strawser
 Seton Hall University



Immediate Past Chair
Alexander J. Triantis
 Johns Hopkins University



Secretary-Treasurer
Ian O. Williamson
 University of California,
 Irvine



**President and Chief
 Executive Officer**
Lily Bi
 AACSB International



Lailani Laynesa Alcantara
 Ritsumeikan Asia Pacific
 University



Frank Buckless
 North Carolina State
 University



Jacob Chacko
 Clayton State University



Isabelle Chaquiriand
 Universidad Católica del
 Uruguay



Anne-Marie Croteau
 Concordia University



Kathleen A. Farrell
 University of Nebraska-
 Lincoln



Susan Fournier
 Boston University



Thami Ghorfi
 ESCA Ecole de
 Management



Mariëlle G. Heijltjes
 Maastricht University



Yvonne L. Hinson
 American Accounting
 Association



Andrew Karolyi
Cornell University



Kate Kearins
Auckland University of
Technology



Xiongwen Lu
Fudan University



Delphine Manceau
NEOMA Business School



Peter Møllgaard
Copenhagen Business
School



Lee Newman
IE Business School



Lisa Ordóñez
University of California,
San Diego



Rowena Ortiz-Walters
St. Mary's University



Barbara Ritter
Jacksonville University



Vallabh Sambamurthy
University of Wisconsin-
Madison



Derek W. Thomas
KPMG



Francisco Veloso
INSEAD



Margaret L. Williams
Texas Tech University



INDEPENDENT AUDITOR'S REPORT AND CONSOLIDATED FINANCIAL STATEMENTS

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Consolidated Financial Report
June 30, 2025

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

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Independent Auditor's Report

To the Board of Directors
AACSB International - The Association to Advance
Collegiate Schools of Business, Inc. and Subsidiary

Opinion

We have audited the consolidated financial statements of AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary (the "Association"), which comprise the consolidated statement of financial position as of June 30, 2025 and 2024 and the related consolidated statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Association as of June 30, 2025 and 2024 and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audits of the Consolidated Financial Statements* section of our report. We are required to be independent of the Association and to meet our ethical responsibilities in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Association's ability to continue as a going concern within one year after the date that the consolidated financial statements are issued or available to be issued.

Auditor's Responsibilities for the Audits of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and, therefore, is not a guarantee that audits conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

To the Board of Directors
AACSB International - The Association to Advance
Collegiate Schools of Business, Inc. and Subsidiary

In performing audits in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audits.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audits in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the Association's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Association's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audits, significant audit findings, and certain internal control-related matters that we identified during the audits.

Plante & Moran, PLLC

September 17, 2025

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Consolidated Statement of Financial Position

June 30, 2025 and 2024

	2025	2024
Assets		
Current Assets		
Cash and cash equivalents	\$ 6,172,088	\$ 5,074,028
Investments	36,046,469	32,245,572
Receivables	245,961	247,125
Prepaid expenses and other current assets	1,121,225	1,488,959
Total current assets	43,585,743	39,055,684
Other Assets - Prepaid expenses and other assets - Net of current portion	103,650	103,650
Property, Equipment, and Software		
Software, course content, and equipment	3,126,041	4,052,458
Office furniture and fixtures	822,336	721,195
Leasehold improvements	2,081,252	2,002,052
Software and improvements in process	202,683	-
Total property, equipment, and software	6,232,312	6,775,705
Less accumulated depreciation and amortization	4,969,132	5,448,821
Net property, equipment, and software	1,263,180	1,326,884
Operating Lease Right-of-use Assets - Net of accumulated amortization	3,759,656	4,598,343
Noncurrent Investments	1,976,769	2,093,872
Total assets	\$ 50,688,998	\$ 47,178,433
Liabilities and Net Assets		
Current Liabilities		
Accounts payable	\$ 565,231	\$ 545,822
Deferred revenue	16,072,415	14,509,749
Accrued compensation	1,537,400	2,349,934
Current portion of operating lease liabilities	1,035,029	980,404
Total current liabilities	19,210,075	18,385,909
Operating Lease Liabilities - Net of current portion	3,724,382	4,756,370
Total liabilities	22,934,457	23,142,279
Net Assets - Without donor restrictions	27,754,541	24,036,154
Total liabilities and net assets	\$ 50,688,998	\$ 47,178,433

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Consolidated Statement of Activities

Years Ended June 30, 2025 and 2024

	2025	2024
Changes in Net Assets without Donor Restrictions		
Revenue, gains, and other support:		
Member dues	\$ 7,609,550	\$ 7,366,005
Accreditation fees	11,632,640	11,106,360
Learning and development - Registration fees	6,224,032	6,269,244
Sponsorships, exhibits, and advertising	1,623,929	1,765,942
Other revenue	61,256	83,052
Total operating revenue	27,151,407	26,590,603
Expenses:		
Program services	18,578,578	18,852,630
Support services	7,524,720	7,517,324
Total expenses	26,103,298	26,369,954
Increase in Net Assets without Donor Restrictions - Before other revenue without donor restrictions	1,048,109	220,649
Other Revenue without Donor Restrictions - Investment income - Net	2,670,278	2,362,704
Increase in Net Assets	3,718,387	2,583,353
Net Assets - Beginning of year	24,036,154	21,452,801
Net Assets - End of year	\$ 27,754,541	\$ 24,036,154

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Consolidated Statement of Functional Expenses

Year Ended June 30, 2025

	Program Services	Support Services	Total
Salaries and benefits	\$ 9,461,445	\$ 3,778,542	\$ 13,239,987
Advocacy and awareness	-	374,997	374,997
Advertising and promotion	5,484	476,939	482,423
Marketing	91,086	34,325	125,411
Meeting and events	3,647,777	895,083	4,542,860
Travel	820,484	134,413	954,897
Professional services	1,018,234	184,340	1,202,574
Occupancy	852,541	424,441	1,276,982
Information technology	2,031,174	964,208	2,995,382
Depreciation and amortization	311,035	207,333	518,368
Miscellaneous	339,318	50,099	389,417
Total functional expenses	\$ 18,578,578	\$ 7,524,720	\$ 26,103,298

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Consolidated Statement of Functional Expenses

Year Ended June 30, 2024

	Program Services	Support Services	Total
Salaries and benefits	\$ 9,806,240	\$ 3,778,916	\$ 13,585,156
Advocacy and awareness	-	494,926	494,926
Advertising and promotion	5,485	473,600	479,085
Marketing	143,353	5,827	149,180
Meeting and events	3,119,205	872,342	3,991,547
Travel	777,744	103,023	880,767
Professional services	1,526,014	153,980	1,679,994
Occupancy	826,854	360,457	1,187,311
Information technology	1,924,474	863,233	2,787,707
Depreciation and amortization	519,641	390,274	909,915
Miscellaneous	203,620	20,746	224,366
Total functional expenses	\$ 18,852,630	\$ 7,517,324	\$ 26,369,954

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Consolidated Statement of Cash Flows

Years Ended June 30, 2025 and 2024

	2025	2024
Cash Flows from Operating Activities		
Increase in net assets	\$ 3,718,387	\$ 2,583,353
Adjustments to reconcile increase in net assets to net cash and cash equivalents from operating activities:		
Depreciation and amortization	518,368	909,915
Loss (gain) on disposal of property and equipment	112,205	(1,343)
Bad debt expense	68,196	43,780
Realized and unrealized gains on investments	(1,586,155)	(1,399,346)
Noncash lease expense	(138,676)	(99,138)
Changes in operating assets and liabilities that (used) provided cash and cash equivalents:		
Accounts receivable	(67,032)	(50,627)
Prepaid expenses and other assets	367,734	(743,329)
Accounts payable	19,409	(130,293)
Accrued compensation	(812,534)	1,408,377
Deferred revenue	1,562,666	2,199,219
Net cash and cash equivalents provided by operating activities	3,762,568	4,720,568
Cash Flows from Investing Activities		
Purchase of property and equipment	(566,868)	-
Purchases of investments	(10,348,565)	(19,096,562)
Proceeds from sales and maturities of investments	8,250,925	11,121,539
Net cash and cash equivalents used in investing activities	(2,664,508)	(7,975,023)
Net Increase (Decrease) in Cash and Cash Equivalents	1,098,060	(3,254,455)
Cash and Cash Equivalents - Beginning of year	5,074,028	8,328,483
Cash and Cash Equivalents - End of year	\$ 6,172,088	\$ 5,074,028

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 1 - Nature of Business

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary (the "Association") is a nonprofit organization whose mission is to elevate the quality and impact of business schools globally. The Association maintains three global office locations: the Americas headquarters in Tampa, Florida, USA; the Asia Pacific regional office in Singapore; and the Europe, Middle East, and Africa regional office in Amsterdam, The Netherlands. The regional office in Singapore is a separate incorporated entity operating as AACSB International - The Association to Advance Collegiate Schools of Business, LTD. The Amsterdam office operates as a representative office of AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and is not a separately incorporated entity. All three offices are staffed with individuals that primarily provide support and service to the Association's members in (a) the Americas; (b) Asia Pacific; and (c) Europe, Middle East, and Africa, respectively. The Association's revenue and other support are derived principally from member dues and fees, which include sponsorships from members and other outside organizations. Its activities serve a global network of educational institutions, corporate, and nonprofit organizations.

Note 2 - Significant Accounting Policies

Basis of Presentation

The consolidated financial statements of the Association have been prepared on the basis of accounting principles generally accepted in the United States of America (GAAP). The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect amounts reported in the financial statements. Actual results could differ from those estimates.

Principles of Consolidation

The financial statements include the accounts of AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and AACSB International - The Association to Advance Collegiate Schools of Business, LTD. All material intercompany accounts and transactions have been eliminated in consolidation.

Classification of Net Assets

Net assets of the Association are classified based on the presence or absence of donor-imposed restrictions. There are no donor-imposed restrictions on the net assets of the Association; therefore, all changes in net assets are classified and reported as net assets without donor restrictions.

Cash Equivalents

The Association considers all investments with an original maturity of three months or less when purchased to be cash equivalents. The Association maintains cash in bank deposit accounts that at times may exceed federally insured limits.

Investments

Investments are reported at fair value. Investment income, including net realized and unrealized gains and losses, is included in the change in net assets in the accompanying consolidated statement of activities. Interest income is recorded on the accrual basis.

The Association's investments are exposed to various risks, such as interest rate, credit, and overall market volatility. Due to these risk factors, it is reasonably possible that changes in value of investments will occur in the near future and will materially affect the amounts reported in the consolidated financial statements. The Association places its cash and marketable securities with high-quality institutions and, accordingly, limits its credit exposure.

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 2 - Significant Accounting Policies (Continued)

Receivables

The Association's trade accounts receivable balance consists of amounts due from its customers. The Association operates in the higher education industry and its accounts receivable are derived primarily from university schools of business. Based on the limited range of types of customers served, risk characteristics on receivable balances are typically similar among all customers. Trade accounts receivable are stated at invoice amounts. The Association calculates the allowance using an expected loss model that considers the Association's actual historical loss rates adjusted for current economic conditions and reasonable and supportable forecasts. The Association considers fluctuations in past-due amounts and industry trends when making adjustments for reasonable and supportable forecasts. Uncollectible amounts are written off against the allowance for credit losses in the period they are determined to be uncollectible. Recoveries of amounts previously written off are recognized when received. Credit loss expense totaled \$68,196 and \$43,780 for the years ended June 30, 2025 and 2024, respectively. Allowance for credit losses on accounts receivable balances totaled \$34,098 and \$0 as of June 30, 2025 and 2024, respectively.

Prepaid Expenses and Other Assets

Prepaid expenses and other assets consist of amounts paid in advance for expenses related to events that have not taken place and other operating costs. These services and fees require payment in advance to secure services over a period of time that extends beyond June 30. As the prepaid items and services are rendered, the Association records the related expenses in the period incurred.

Property and Equipment

The Association records property and equipment additions over \$15,000, course content developments over \$20,000, and software over \$25,000 at cost with an estimated useful life of three years or more. The straight-line method is used for computing depreciation and amortization. Assets are depreciated over their estimated useful lives; with the exception of leasehold improvements, which are amortized over the shorter of their lease term or estimated useful life. When assets are sold or otherwise disposed of, the cost and related depreciation or amortization are removed from the accounts, and any remaining gain or loss is included in the consolidated statement of activities. Costs of maintenance and repairs are charged to expense when incurred. Software and improvements in progress are not amortized or depreciated until placed in service, at which time it is reclassified into the appropriate asset class. The estimated useful lives of the Association's long-lived asset classes are as follows:

	Depreciable Life - Years
Software, course content, and equipment	3 to 5 years
Furniture and fixtures	3 to 7 years
Leasehold improvements	3 to 12 years

Leases

The Association has operating leases for office space and office equipment. The Association recognizes expense for operating leases on a straight-line basis over the lease term. The Association made a policy election not to separate lease and nonlease components for the office space leases. Therefore, all payments are included in the calculation of the right-of-use asset and lease liability.

The Association elected to use the risk-free rate as the discount rate for calculating the right-of-use asset and lease liability in place of the incremental borrowing rate for the office spaces and office equipment.

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 2 - Significant Accounting Policies (Continued)

Revenue Recognition

Exchange revenue includes membership dues, accreditation fees, learning and development registration fees, sponsorships, exhibits, and advertising. Program service fees and related receivables are reported at the amount reflecting the consideration to which the Association expects to be entitled in exchange for providing services to its program participants. Revenue is recognized as performance obligations are satisfied.

Accounts receivable totaled \$245,961 at June 30, 2025; \$247,125 at June 30, 2024; and \$240,278 at July 1, 2023. Deferred revenue totaled \$16,072,415 at June 30, 2025; \$14,509,749 at June 30, 2024; and \$12,310,530 at July 1, 2023.

The following explains the performance obligations related to each revenue stream and how they are recognized:

Membership Dues

Membership dues include annual memberships. Annual membership dues are renewed each fiscal year starting July 1 and are recognized in revenue evenly over the membership period. With membership dues, members have access to the online exchange network system, a large database of global business education data, access to thought leadership pieces around business education topics, discounts to learning and development programs, and the right to apply for the Association's business and accounting accreditation. Unearned membership revenue is reflected as deferred revenue in the consolidated statement of financial position.

Accreditation Fees

An association member institution offering undergraduate and/or graduate degrees in business may voluntarily apply for the Association's business and accounting accreditation. The Association accreditation process includes self-evaluation, peer-review elements, and fees at milestones while an institute is seeking accreditation and during the maintenance of their accreditation achievement.

The process begins with the submission and approval of an eligibility application. Eligibility application review fees are recognized at a point in time in which a school is included on the agenda of the review committee. Once a school's eligibility application has been approved, it will be assessed the one-time initial accreditation process acceptance fee that is recognized at a point in time when the committee gives an affirmative vote to accept the school into the accreditation process. During the years ended June 30, 2025 and 2024, the Association recognized accreditation fee revenue at a point in time in amounts of \$940,920 and \$879,540, respectively.

The applicant schools that have successfully aligned themselves with the accreditation standards will qualify for a peer review team visit and will incur a one-time fee recognized over the term of the visit, generally two to three days.

While a school is in process, or after the school has been ratified, it will pay an annual fee recognized over the applicable fiscal year starting July 1. Fees that are paid prior to the applicable fiscal year will be reflected as deferred revenue in the consolidated statement of financial position.

The deferral visit fee or continuing review fee are one-time fees for schools placed on either a deferral review during the initial accreditation process, or a continuing review for schools already accredited. Both review fees are recognized over the time of the review, generally one to two days.

During the years ended June 30, 2025 and 2024, the Association recognized accreditation fee revenue over time in amounts of \$10,691,720 and \$10,226,820, respectively.

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 2 - Significant Accounting Policies (Continued)

Learning and Development - Registration Fees

Registration fees for multiday learning and development events are recognized over time during the duration of the event. Registration fees for one-day digital workshops are recognized at the point in time of the event. Advance registration payments received are held in deferred revenue until the period in which the event is delivered.

Sponsorships, Exhibits, and Advertising

Sponsorship agreements comprise an exchange element based on the value of benefits provided, and a contribution element for the difference between the total sponsorship price and the exchange element. The exchange element can include admission, exhibits, and advertising, which the Association recognizes when the performance obligation is met. The admission and exhibit elements are recognized over the term of the event being sponsored. The advertising element is recognized at the point in time when the advertisement is delivered to the audience.

Contributions

Contributions of cash and other assets, including unconditional promises to give in the future, are reported as revenue when received, measured at fair value. Donor promises to give in the future are recorded at the present value of estimated future cash flows.

Contributions without donor-imposed restrictions and contributions with donor-imposed time or purpose restrictions that are met in the period in which the gift is received are both reported as contributions without donor restrictions.

Conditional promises to give are not recognized as revenue until barriers prescribed by the grant agreements/pledge agreements are overcome. The Association records cash received in advance of meeting conditions as a refundable advance on the consolidated statement of financial position. There were approximately \$926,000 and \$967,000 in conditional contributions in the form of sponsorships awarded in the years ended June 30, 2025 and 2024, respectively, which depended on the associated events occurring and have been recorded to the sponsorships, exhibits, and advertising line in the consolidated statement of activities. Sponsorship transactions often are bifurcated between contribution revenue and exchange revenue, with the contribution portion recognized as the amount exceeding the fair market value of the goods or services provided in return for the sponsorship. As of June 30, 2025 and 2024, conditional promises to give totaled \$0.

Functional Allocation of Expenses

Costs of providing the program and support services have been reported on a functional basis in the consolidated statement of activities. The consolidated financial statements report certain categories of expenses attributable to more than one program or supporting function. Therefore, these expenses require allocation on a reasonable basis, consistently applied. Salaries and related expenses are allocated on the basis of time and effort. Expenses deemed to be indirect to employee work, such as professional services, depreciation, insurance, and supplies, are allocated based on full-time equivalents, actual usage, or management's estimates of usage applicable to the various program and supporting services benefited. Other expenses utilized by all employees, such as occupancy, utilities, and training, are also allocated on the basis of time and effort. Costs have been allocated between the various program and support services based on estimates determined by management. Although the methods of allocation used are considered appropriate, other methods could be used that would produce different amounts.

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 2 - Significant Accounting Policies (Continued)

Use of Estimates

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Income Taxes

The Association is a not-for-profit corporation and is exempt from tax under the provisions of Internal Revenue Code Section 501(c)(3). The Association is subject to routine audits by taxing jurisdictions; however, there are currently no audits for any tax periods in progress.

AACSB International - The Association to Advance Collegiate Schools of Business, LTD is required to annually file a Information Return of U.S. Persons With Respect to Certain Foreign Corporations (Form 5471) and a U.S. Shareholder Calculation of Global Intangible Low-Taxed Income (Form 8892). The Association had not historically filed Forms 5471 and 8892 prior to 2022. Consequently, the Association could incur certain IRS penalties. However, management is of the opinion penalties issued by the IRS, if any, will not have a materially adverse impact on the Association's financial position due to the facts and circumstances of the situation.

Subsequent Events

The financial statements and related disclosures include evaluation of events up through and including September 17, 2025, which is the date the financial statements were available to be issued.

Note 3 - Fair Value Measurements

Accounting standards require certain assets and liabilities be reported at fair value in the financial statements and provide a framework for establishing that fair value. The framework for determining fair value is based on a hierarchy that prioritizes the inputs and valuation techniques used to measure fair value.

Fair values determined by Level 1 inputs use quoted prices in active markets for identical assets the Association has the ability to access.

Fair values determined by Level 2 inputs use other inputs that are observable, either directly or indirectly. These Level 2 inputs include quoted prices for similar assets in active markets and other inputs, such as interest rates and yield curves, that are observable at commonly quoted intervals.

Level 3 inputs are unobservable inputs, including inputs that are available in situations where there is little, if any, market activity for the related asset. These Level 3 fair value measurements are based primarily on management's own estimates using pricing models, discounted cash flow methodologies, or similar techniques taking into account the characteristics of the asset.

In instances where inputs used to measure fair value fall into different levels in the above fair value hierarchy, fair value measurements in their entirety are categorized based on the lowest level input that is significant to the valuation. The Association's assessment of the significance of particular inputs to these fair value measurements requires judgment and considers factors specific to each asset.

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 3 - Fair Value Measurements (Continued)

The following tables present information about the Association's assets measured at fair value on a recurring basis at June 30, 2025 and 2024 and the valuation techniques used by the Association to determine those fair values:

Assets Measured at Fair Value on a Recurring Basis at June 30, 2025				
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Fair Value
Investments measured at fair value:				
Equity securities	\$ 13,043,128	\$ -	\$ -	\$ 13,043,128
Fixed-income securities	-	7,001,907	-	7,001,907
Total	\$ 13,043,128	\$ 7,001,907	\$ -	20,045,035
Investments measured at NAV:				
Private equity funds				1,004,600
Real estate investment trust				972,169
Total assets				\$ 22,021,804

Assets Measured at Fair Value on a Recurring Basis at June 30, 2024				
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Fair Value
Investments measured at fair value:				
Equity securities	\$ 12,843,120	\$ -	\$ -	\$ 12,843,120
Fixed-income securities	-	7,071,940	-	7,071,940
Total	\$ 12,843,120	\$ 7,071,940	\$ -	19,915,060
Investments measured at NAV:				
Private equity funds				1,114,052
Real estate investment trust				979,820
Total assets				\$ 22,008,932

Not included above is \$16,001,434 and \$12,330,512 in cash and cash equivalents, including money market investments, as of June 30, 2025 and 2024, respectively.

Level 2 Inputs

Estimated fair values of fixed-income securities were based on similar investments that are traded on a secondary market.

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 3 - Fair Value Measurements (Continued)

Investments in Entities that Calculate Net Asset Value per Share

The Association holds shares or interests in investment companies at year end where the fair value of the investment held is estimated based on net asset value per share (or its equivalent) of the investment company. At year end, the fair value, unfunded commitments, and redemption rules of those investments are as follows:

	June 30, 2025	June 30, 2024	June 30, 2025	
	Fair Value	Fair Value	Redemption Frequency, if Eligible	Redemption Notice Period
Private equity fund	\$ 1,004,600	\$ 1,114,052	Illiquid	None
Real estate funds	972,169	979,820	Illiquid	90 days
Total	<u>\$ 1,976,769</u>	<u>\$ 2,093,872</u>		

The private equity fund focuses on the purchase of globally diversified infrastructure assets, mainly consisting of primary, secondary, and co-investment opportunities. The investments are not readily redeemable; however, distributions may be received as underlying fund assets are liquidated. The fund management had a 5-year investment period, which ended on December 31, 2022, to invest capital into opportunities. The Association's term for this investment is 12 years ending on December 31, 2029 with three additional 1-year extensions at the discretion of fund management.

The real estate fund focuses on the purchase of geographically diversified real estate properties in the United States. The fund earns income from real estate investments consisting of contractual rents due under the terms of the leases and reimbursement of certain operating expenses and real estate taxes. The income earned quarterly may be distributed to the investor or reinvested in the fund. The fund is illiquid but the Association can request redemptions with 90 days written notice, which are subject to available liquidity. If there is no liquidity at the time of redemption notice, the Association would enter a queue and receive partial liquidations on a quarterly basis as the fund liquidates the real estate holdings.

Note 4 - Pension Plan

The Association's employees are eligible to participate in a retirement plan on the first day of the month following their start date. U.S. employees can participate in a plan administered by the Teachers Insurance and Annuity Association and receive an association matching amount up to 5 percent. Employees in the Amsterdam office received a 2.5 percent pension allowance that they can choose to include in a retirement plan of their choice. Employees in the Singapore office receive a statutory contribution rate, as specified by the Central Provident Fund, depending on age.

Pension expense totaled approximately \$343,000 and \$320,000 for the years ended June 30, 2025 and 2024, respectively.

Note 5 - Leases

The Association is obligated under operating leases primarily for office space in Tampa, Singapore, and Amsterdam, expiring at various dates through 2030. The Association also leases certain office equipment under noncancelable operating leases through 2025. The right-of-use asset and related lease liability have been calculated using a rate of 3.23 percent. The leases require the Association to pay taxes, insurance, utilities, and maintenance costs. Total rent expense under these leases was \$1,276,982 and \$1,187,311 for 2025 and 2024, respectively.

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 5 - Leases (Continued)

Future minimum annual commitments under these operating leases are as follows:

Years Ending June 30	Amount
2026	\$ 1,169,813
2027	1,116,262
2028	983,872
2029	1,007,666
2030	838,051
Total	5,115,664
Less amount representing interest	356,253
Present value of net minimum lease payments	4,759,411
Less current obligations	1,035,029
Long-term obligations under leases	\$ 3,724,382

Expenses recognized under these leases for the years ended June 30, 2025 and 2024 consist of the following:

	2025	2024
Operating lease cost	\$ 1,008,000	\$ 1,008,000
Other information:		
Operating cash flows from operating leases	\$ 1,147,729	\$ 1,110,265
Right-of-use assets obtained in exchange for new operating lease liabilities	-	-
Weighted-average remaining lease term (years) - Operating leases	4.6	5.5
Weighted-average discount rate - Operating leases	3.2 %	3.2 %

Note 6 - Liquidity Access Line

Under a liquidity access line agreement with a bank, the Association has maximum available borrowings of \$5,000,000. Interest is payable monthly at a variable rate. As of June 30, 2025, the variable rate was equal to the Secured Overnight Financing Rate plus 1.75 percent (an effective rate of 6.27 percent at June 30, 2025). As of June 30, 2024, the variable rate was equal to the Secured Overnight Financing Rate plus 1.75 percent (an effective rate of 6.20 percent at June 30, 2024). The line of credit is collateralized by the Association's investments held under custody of the lender and due on demand. There was no balance on the line as of June 30, 2025 and 2024.

AACSB International - The Association to Advance Collegiate Schools of Business, Inc. and Subsidiary

Notes to Consolidated Financial Statements

June 30, 2025 and 2024

Note 7 - Commitments and Obligations

Events and Service Commitments

The Association enters into agreements with various hotels and other venues representing commitments for meeting space, food, and beverages for the event. Commitments totaled \$2,239,071 and \$2,689,000 at June 30, 2025 and 2024, respectively. Of those amounts, approximately \$1,821,000 and \$2,446,000, respectively, are the maximum noncancelable amounts, with some event contracts containing force majeure clauses.

The Association has entered into brand awareness and various software and supporting service commitments totaling approximately \$774,986 and \$891,998 as of June 30, 2025 and 2024, respectively, over the next three years.

Employment Contracts

The Association has entered employment contracts with certain key employees. These agreements establish the respective annual salaries and severance agreements. The employment agreements can be terminated at the sole discretion of the Association without cause, but giving at least 30-60 days notice to the respective employee and the Association would pay these key employees an agreed-upon amount of salary as severance, provide for certain benefits, and reimburse relocation expenses, as defined by the individual agreements.

Note 8 - Liquidity and Availability of Resources

The following reflects the Association's financial assets as of June 30, reduced by amounts not available for general use because of contractual restrictions within one year of the consolidated statement of financial position date:

	2025	2024
Cash and cash equivalents	\$ 6,172,088	\$ 5,074,028
Accounts receivable	245,961	247,125
Investments	38,023,238	34,339,444
Financial assets - At year end	44,441,287	39,660,597
Less those unavailable for general expenditures within one year due to alternative investments	1,976,769	2,093,872
Financial assets available to meet cash needs for general expenditures within one year	<u>\$ 42,464,518</u>	<u>\$ 37,566,725</u>

The Association has a policy to structure its financial assets to be available as its general expenditures, liabilities, and other obligations come due. In addition, the Association invests cash in excess of daily requirements in various short-term investments, including short-term Treasury instruments. As described in Note 6, the Association also has a committed liquidity access line of credit in the amount of \$5,000,000, which it could draw upon in the event of an anticipated liquidity need.

The Association also realizes there could be unanticipated liquidity needs.



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